

pyramid is "no longer a problem," that the market and the economy have "learned to live with high interest rates," and that computers have ushered in a "new era of unparalleled prosperity."

As forecast, investors today are focusing only on the positive aspects of the background conditions. They see the good news, such as the reports of record earnings pouring out of Wall Street, the low inflation rate, and an administration that wants Japan to open up its markets further to U.S. goods. They conclude that "steady growth with low inflation in an expanding global market is the best of all possible worlds for stocks." The fact that the economy lags stocks is ignored; the fact that disinflation can precede deflation is ignored; the fact that the administration is careening toward a trade war is ignored. This optimistic focus on only the favorable fundamentals is, despite claims to the contrary, bearish for stocks, since anyone who would make a decision to buy on such a basis has, for the most part, already done so.

The bearish side of the news is no less real, but it is not *welcome*. To any warning such as that contained in this book, the majority says indignantly, "Today is *not* like 1929." Well, they are right. Today's hidden fundamentals are in fact *far worse* than those of 1929. The U.S. has lost its place as the fastest growing economy in the world, the dollar is weak, trade deficits have been relentless, the Federal budget deficit is huge, and the level of debt among citizens, corporations, and the federal, state and local governments is of historic proportion. Taxes are so high that most working families have more money taken from them in taxes than they spend on food, clothing and shelter, while the combined governments of the U.S. spend more money than every foreign country in the world put together excluding Japan. If anything, these figures are conservative, as they exclude the costs of regulation, inflation, countless hidden taxes and estate taxes. Today, federal, state and local governments, for the first time in the history of the country, employ more people in the United States than all the manufacturing industries of the country *combined*. This is not an insignificant fact, as ultimately, manufacturing supports all wealth. The fact that manufacturing has been hit so hard and government has swollen so much reveals deep structural damage. (This damage is revealed in the inflation-adjusted Dow shown in Figure 3-4 and discussed at the end of Chapter 3.) Although none of these observations are perceived